Step #4: Work out your risk profile

In the spirit of my generation, which spent too much time taking BuzzFeed quizzes during lectures, let's work out your risk tolerance with a quiz.

1. You can withdraw your money from your investment at any time. When would you likely want to withdraw?
   A. 0–3 years
   B. 4–10 years
   C. 10-plus years
2. What would help you sleep easier at night?
   A. having my money on a stable but low rate of return, rather than risking losing my money
   B. accepting some short-term fluctuations with the chance of slightly higher returns
   C. knowing that I have higher odds of maximising my returns, but also a greater chance of losing money
3. What do you want your investments to do for you?
   A. provide me a steady cash flow right now to supplement my income
   B. grow over time, with some cash flow in the present as well
   C. grow over time, I'm not interested in touching that money for anything soon
4. You work for a FAANG company (Facebook, Apple, Amazon, Netflix or Google) and your boss is going to pay a year-end bonus. You have a choice between $800 cash or $1000 in company stock, but you can't sell the stock for at least 12 months, and in that time the stock price could go up or down. What do you do?
   A. take the cash
   B. ask for 50 per cent cash, 50 per cent company stock
   C. take the company stock